

INDEPENDENT CONTRACTOR AGREEMENT

California Labor Code §2750.3 Compliant

FOR BEAUTY PROFESSIONALS

THE J FORMULA LEGAL VAULT
California AB-5 Compliant Template

INDEPENDENT CONTRACTOR SERVICES AGREEMENT

This Independent Contractor Agreement ("Agreement") is made effective as of _____
("Effective Date")

BETWEEN:

COMPANY (Salon/Spa):

Business Name: _____
Owner/Representative: _____
California Establishment License #: _____
Business Address: _____
Phone: _____ Email: _____
EIN/Tax ID: _____

CONTRACTOR (Service Provider):

Legal Name: _____
DBA (if applicable): _____
Address: _____
Phone: _____ Email: _____
SSN or EIN: _____

CALIFORNIA LICENSE INFORMATION:

License Type: & Cosmetologist & Barber & Esthetician & Electrologist
California Board License #: _____
License Expiration: _____
& Copy of license attached (Exhibit A)

CALIFORNIA AB-5 COMPLIANCE STATEMENT

This Agreement is designed to comply with California Assembly Bill 5 (AB-5), codified at California Labor Code §2750.3.

Important: Under California law, workers are presumed to be EMPLOYEES unless the hiring entity can prove the worker meets the "ABC Test" or qualifies for a statutory exemption.

Licensed beauty professionals (barbers, cosmetologists, estheticians, electrologists) may qualify for an exemption from the ABC Test if ALL of the following conditions are met:

- & Contractor holds a valid California license for the services performed
- & Contractor sets their own rates for services
- & Contractor sets their own hours of work
- & Contractor is free from control and direction in performing services
- & Contractor maintains a clientele without restriction
- & Contractor has the freedom to contract with other businesses

& p **MANICURISTS:** As of January 1, 2025, licensed manicurists NO LONGER qualify for the independent contractor exemption in California and must be classified as employees.

Both parties acknowledge that this Agreement is intended to establish a legitimate independent contractor relationship in compliance with California law.

1. SERVICES

1.1 Services to be Performed:

Contractor agrees to provide the following services:

- & Hair cutting and styling
- & Hair coloring and chemical services
- & Hair extensions
- & Barbering services
- & Esthetician services (facials, waxing, etc.)
- & Electrolysis
- & Other licensed services: _____

1.2 Scope:

Contractor shall only perform services within the scope of their California license.

2. TERM

2.1 Initial Term:

This Agreement begins on _____ and continues:

- & Indefinitely until terminated by either party
- & For a fixed term of _____ months, ending on _____

2.2 Renewal:

- & Automatically continues after initial term on month-to-month basis
 - & Requires written renewal agreement
-

3. INDEPENDENT CONTRACTOR RELATIONSHIP

3.1 Classification:

The parties expressly intend and agree that Contractor is an INDEPENDENT CONTRACTOR and not an employee of Company. Nothing in this Agreement shall be construed to create an employer-employee relationship.

3.2 Control - California AB-5 Requirements:

Contractor shall have SOLE CONTROL over:

- a) Schedule: Contractor sets their own hours and days of work. Company does not require minimum hours or specific schedules.
- b) Rates: Contractor sets their own prices for services. Company does not dictate service prices.
- c) Methods: Contractor determines how services are performed using their own professional judgment and techniques.
- d) Clients: Contractor maintains their own clientele. Company does not assign clients to Contractor.
- e) Other Engagements: Contractor is free to contract with other salons, spas, or clients without restriction.

3.3 What Company Does NOT Control:

- When Contractor works
- How many hours Contractor works
- What prices Contractor charges
- Which clients Contractor accepts
- What techniques or methods Contractor uses
- Whether Contractor works elsewhere

3.4 What Company May Reasonably Require:

- Compliance with facility safety rules
- Compliance with California Board regulations
- Maintaining valid licensure
- Maintaining required insurance

- Professional conduct on premises

4. COMPENSATION

4.1 Payment Structure:

& Booth/Station Rental: Contractor PAYS Company

Amount: \$_____ per & week & month

Due: _____ day of each & week & month

& Revenue Share: Company pays Contractor

Contractor receives: _____% of service revenue

Company retains: _____% for facility/expenses

& Other Arrangement:

4.2 Payment Terms:

- Payment frequency: & Weekly & Bi-weekly & Monthly
- Payment method: & Check & Direct deposit & Cash & Other
- Payment due within _____ days of _____

4.3 Products/Supplies:

& Contractor provides all products and supplies at own expense

& Contractor may purchase products from Company at _____% discount

& Company provides backbar; Contractor pays: \$_____/month OR _____%

& Other: _____

4.4 No Deductions:

Company shall not make any deductions from payments to Contractor for taxes, insurance, or any other purpose.

5. TAXES & BENEFITS

5.1 Tax Responsibility:

Contractor is solely responsible for:

- All federal income taxes
- California state income taxes
- Self-employment taxes (Social Security and Medicare)
- California Sales and Use Tax (if selling retail)
- Quarterly estimated tax payments
- Any other applicable taxes

5.2 Tax Forms:

- Contractor shall provide completed IRS Form W-9 upon signing
- Company will provide IRS Form 1099-NEC if payments exceed \$600/year
- Company will NOT provide IRS Form W-2

5.3 No Employee Benefits:

Contractor shall NOT receive:

- Health insurance
- Retirement benefits (401k, pension)
- Paid time off or vacation
- Sick leave (including California Paid Sick Leave)
- Workers' compensation insurance from Company
- California State Disability Insurance (SDI) from Company
- Unemployment insurance from Company
- Any other employee benefits

5.4 Acknowledgment:

Contractor acknowledges they are responsible for obtaining their own:

- Health insurance
 - Retirement savings
 - Disability insurance (if desired)
 - Any other benefits
-

6. INSURANCE REQUIREMENTS

6.1 Required Coverage:

Contractor shall maintain at their own expense:

- ****Professional Liability Insurance:****

Minimum: \$1,000,000 per occurrence / \$2,000,000 aggregate

- ****General Liability Insurance:****

Minimum: \$1,000,000 per occurrence / \$2,000,000 aggregate

6.2 Insurance Requirements:

- Policy must be issued by carrier licensed in California
- Policy must remain in effect throughout this Agreement
- Contractor shall provide Certificate of Insurance upon request
- Contractor shall notify Company within 10 days if policy lapses or is cancelled

6.3 Additional Insured:

& Company shall be named as additional insured

& Not required

7. LICENSING & COMPLIANCE

7.1 License Maintenance:

Contractor shall:

- Maintain a valid, active California license at all times
- Renew license before expiration
- Display license at workstation per CA Board requirements
- Notify Company immediately of any license issues

7.2 California Board Compliance:

Contractor shall comply with all California Board of Barbering and Cosmetology regulations including but not limited to:

- Health and safety requirements
- Sanitation and disinfection protocols
- Scope of practice limitations
- Continuing education requirements (if applicable)

7.3 Business License:

Contractor shall obtain and maintain any required local business license.

8. TOOLS, EQUIPMENT & SUPPLIES

8.1 Contractor-Provided:

Contractor shall provide:

8.2 Company-Provided:

Company shall provide:

8.3 Ownership:

All tools and equipment provided by Contractor remain Contractor's property.

9. CLIENT RELATIONSHIPS

9.1 Contractor's Clients:

- Clients served by Contractor are Contractor's own clients
- Contractor maintains their own client list and contact information
- Contractor may take client information upon termination
- Contractor may contact their clients after departure

9.2 No Client Assignment:

Company shall not assign clients to Contractor. Contractor builds and maintains their own clientele.

9.3 Marketing:

Contractor may market their own services and build their own brand.

10. NON-COMPETE PROVISIONS

California Law Notice: California Business and Professions Code Section 16600 makes non-compete agreements generally UNENFORCEABLE in California except in limited circumstances.

& NO non-compete restrictions apply. (RECOMMENDED)

& Limited Confidentiality Only: Contractor agrees not to disclose Company's trade secrets or confidential business information. (This is NOT a non-compete.)

11. CONFIDENTIALITY

Contractor agrees to maintain confidentiality of:

- Company's proprietary business information
- Company's vendor/supplier relationships
- Company's financial information
- Other contractors' personal and client information
- Any trade secrets disclosed during this relationship

This obligation survives termination of this Agreement.

12. INDEMNIFICATION

12.1 Contractor's Indemnification:

Contractor agrees to indemnify, defend, and hold harmless Company from any claims, damages, liabilities, costs, and expenses (including attorney's fees) arising from:

- Contractor's performance of services
- Contractor's negligence or willful misconduct
- Contractor's breach of this Agreement
- Any claims by Contractor's clients
- Contractor's failure to maintain proper licensure or insurance

12.2 Company's Indemnification:

Company agrees to indemnify, defend, and hold harmless Contractor from any claims arising from:

- Company's negligence
- Facility defects or unsafe conditions caused by Company
- Company's breach of this Agreement

13. TERMINATION

13.1 Termination at Will:

Either party may terminate this Agreement:

- & At any time without notice
- & With _____ days written notice
- & With _____ days written notice (or payment in lieu of notice)

13.2 Immediate Termination:

Company may terminate immediately if Contractor:

- Loses, surrenders, or has California license suspended/revoked
- Violates California Board regulations
- Fails to maintain required insurance
- Engages in illegal activity on premises
- Creates unsafe conditions
- Commits gross misconduct
- Materially breaches this Agreement

13.3 Effect of Termination:

Upon termination:

- Contractor shall remove all personal property within _____ days
- Contractor shall return any Company property (keys, codes, etc.)
- All amounts owed shall be paid within _____ days
- Confidentiality obligations survive termination

14. DISPUTE RESOLUTION

14.1 Governing Law:

This Agreement shall be governed by and construed in accordance with California law.

14.2 Venue:

Any disputes shall be resolved in _____ County, California.

14.3 Resolution Method:

- & Parties agree to mediate disputes before litigation
- & Binding arbitration per California Arbitration Act
- & Litigation in appropriate court

14.4 Attorney's Fees:

- & Prevailing party entitled to reasonable attorney's fees
- & Each party bears own costs

15. GENERAL PROVISIONS

15.1 Entire Agreement:

This Agreement contains the entire agreement between the parties and supersedes all prior negotiations and agreements.

15.2 Amendments:

This Agreement may only be modified in writing signed by both parties.

15.3 Severability:

If any provision is found unenforceable under California law, the remaining provisions remain in full effect.

15.4 Assignment:

Contractor may not assign this Agreement without Company's written consent.

15.5 Notices:

All notices shall be in writing and delivered to addresses listed above.

15.6 Waiver:

Failure to enforce any provision shall not constitute waiver of future enforcement.

16. REPRESENTATIONS AND WARRANTIES

Contractor represents and warrants that:

Contractor holds a valid California license to perform the services
Contractor has the right to enter into this Agreement
Contractor will comply with all applicable laws and regulations
Contractor will maintain required insurance throughout the term
Contractor understands they are responsible for their own taxes and benefits
Contractor has had the opportunity to consult with their own attorney and tax advisor

Company represents and warrants that:

Company holds a valid California establishment license
Company has the authority to enter into this Agreement
Company will maintain a safe, licensed facility

SIGNATURES

By signing below, both parties acknowledge they have read, understand, and agree to all terms of this Agreement. Both parties acknowledge they have had the opportunity to consult with legal counsel before signing.

COMPANY:

Signature: _____ Date: _____

Printed Name: _____

Title: _____

CONTRACTOR:

Signature: _____ Date: _____

Printed Name: _____

California License #: _____

EXHIBITS

- & Exhibit A: Copy of Contractor's California License
- & Exhibit B: Certificate of Insurance
- & Exhibit C: IRS Form W-9

DISCLAIMER: This template is provided for informational purposes only and does not constitute legal advice. Worker classification is complex and carries significant legal and tax consequences. California law on independent contractor status is particularly strict. Consult with a California-licensed employment attorney and tax professional before using this document. The J Formula is not a law firm. © The J Formula

SIGNATURES

Party 1 Signature: _____

Printed Name: _____

Date: _____

Party 2 Signature: _____

Printed Name: _____

Date: _____

